Commonwealth of Virginia
Office of the Governor

Executive Order

EXECUTIVE ORDER 22 (2026)

ESTABLISHING NEW NATION-LEADING STANDARDS AND INITIATIVES TO IMPLEMENT THE VIRGINIA DATA CENTER ACCOUNTABILITY FRAMEWORK AND RESPONDING TO UNPRECEDENTED RISK FROM ARTIFICIAL INTELLIGENCE

By virtue of the authority vested in me as Governor under Article V of the Constitution of Virginia and under the laws of the Commonwealth, including, but not limited to, §§ 2.2-103 and 2.2-110 of the *Code of Virginia*, I hereby direct immediate implementation of initiatives that advance the Virginia Data Center Accountability Framework to empower communities to have a meaningful voice in data center development and the tools to protect local resources, quality of life, and long-term interests.

I further direct the creation of a rapid-response Artificial Intelligence ("AI") Task Force, to be supported by an AI Policy Planning Unit, to respond to the risks being foisted on Virginians by AI technology companies that should prioritize safe development and the protection of people and their livelihoods.

Importance of the Issue

The Commonwealth is committed to holding companies accountable, from data center operators and developers who must protect energy affordability, environmental resources, and the quality of life for Virginia families and businesses, to AI technology companies who must engage in development that prioritizes people and safety in all circumstances.

Virginia Data Center Accountability Framework

While data centers have been and will continue to be an important part of Virginia's economy, the immense scale and rapid pace of data center development over the last decade have challenged Virginia's regulatory and policy frameworks in place today. Existing policies lack the precision to hold data center developers accountable to high environmental and performance standards necessary to ensure good corporate citizenship. To protect Virginia ratepayers and protect our natural resources, the Commonwealth must modernize our standards and raise the bar on data center development, establishing new programs and adopting policies that foster responsible, community-aligned developments.

We will lead the nation and this industry in setting the standard for what responsible data center development means. As we move forward, the Commonwealth must ensure that the operations of existing data centers and any additional data center investment actively advance our collective goals of protecting and benefiting communities locally and statewide; delivering affordable, reliable, and local clean energy that works for every community; and protecting our environment and natural resources.

The Virginia Data Center Accountability Framework lays out five essential pillars that data center developers and operators must meet to do business in the Commonwealth:

- **Engage Transparently with Communities:** Communities must have meaningful, timely information and a genuine role in decisions about proposed data center development. Data center development and existing operations should be transparent, without unnecessary secrecy or limitations on disclosure. Developers should engage early, openly, and in good faith; disclose material impacts; and work with local partners to provide benefits that address community priorities.

- **Protect Our Environment:** Economic growth must not come at the expense of public health and every Virginian's right to clean air and water. Data center projects should meet high standards for air quality, water and land conservation, and noise control as well as account for cumulative impacts on nearby communities.

- **Improve Affordability for Virginians:** Data centers must pay their fair share of the generation, transmission, distribution, and other public investments their operations require. Virginia's data center growth and market position should lower—not raise—energy costs for households and other customers.

- **Advance Clean Energy and Grid Reliability:** Data centers must be active partners in meeting Virginia's clean energy goals, including by supporting new clean generation, energy efficiency, and flexible demand. Their development should strengthen—not weaken—grid optimization, resilience, and reliability.

- **Deliver a Better Deal for Our Workforce:** Responsible data center growth requires durable, broadly shared value for Virginians, including creating and sustaining good jobs that ensure communities can thrive. Data center development should support quality jobs, workforce training, local procurement, infrastructure improvements, and long-term community economic growth.

Future data center development must be balanced and sustainable to ensure these companies are strong innovation and economic partners of the Commonwealth. Virginia families and small businesses should not bear the costs of data center-driven grid upgrades and host communities should not be left to manage environmental impacts on their own. Building on the strong foundation Virginia has recently established through ambitious legislation, meaningful water conservation and noise reduction measures, and a first-in-the-nation energy consumption tax, we can continue to strengthen Virginia's economic competitiveness while ensuring that growth works directly for the communities who make that success possible.

Rapid-Response AI Task Force

AI has brought rapid and transformative change to everyone's daily lives, often without their specific agreement to use AI or personal adoption of the new technology. At an ever-increasing rate, private technology companies have incorporated AI into consumer and business devices and software services in a way that the people using those devices and services cannot control or avoid. AI proliferation has allowed consumer and business data to be leveraged by AI developers without people's express permission or even knowledge, including sensitive information about mental and physical health and children's data in text, image, and video formats that has resulted in readily foreseeable harm. As this

technology evolves and is further integrated into the workforce, the potential for job displacement due to AI is creating economic uncertainty and disrupting Virginians' livelihoods.

The federal government has not met the moment, ceding its authority and allowing AI technology companies to rush forward with increasingly sophisticated models rather than requiring responsible development practices that ensured people are protected from unintended consequences. Recently, certain AI technology companies have revealed instances where they had to address terroristic uses like foreign actors seeking to build biological weapons or execute cyber-espionage against critical infrastructure. Companies have also identified how new AI models have escaped the companies' control, broken laws, and caused damage to other businesses. In this context, prominent industry leaders, companies, and employees are actively calling for consistent and reliable regulatory standards that would slow and derisk development. When companies are asking for federal regulation because they understand the potential threat their products can create, the federal government must act.

The federal government, however, continues to reject calls to step in and act in response to the reckless AI development engaged in to-date or the AI technology companies' call for more secure pacing of AI development. In the absence of federal leadership, states must do more to address the risks that unregulated AI presents to safeguard people and communities.

Directives

Pursuant to the authority vested in me as Chief Executive Officer of the Commonwealth and pursuant to Article V of the Constitution of Virginia, I hereby direct the following actions to (1) advance the Virginia Data Center Accountability Framework and ensure that data centers deliver benefits for Virginia communities, protect ratepayers and natural resources, and support a reliable and affordable energy system; and (2) respond to the risk of unrestricted AI development, reducing the risk of harm while channeling AI in ways that serve the interests and wellbeing of Virginians:

I. The Virginia Data Center Accountability Framework

A. Implementation Lead and Governance Structure for the Data Center Accountability Framework

The Office of the Chief Energy Officer is designated as the primary lead for coordinating and implementing a unified statewide approach for the Virginia Data Center Accountability Framework. All Secretariats and executive branch agencies shall, upon request, coordinate with and provide support to the Office of the Chief Energy Officer in implementing this Executive Order. The Office of the Chief Energy Officer shall update the Office of the Governor on a continuous and ongoing basis regarding the implementation of the Virginia Data Center Accountability Framework.

B. Engaging Transparently with Communities

1. Data Center Planning and Community Engagement Toolkit

Within 120 days of the Effective Date of this Executive Order, the Office of the Chief Energy Officer shall publish an initial Data Center Planning and Community Engagement Toolkit for local governments and communities. The Toolkit shall include but not be limited to:

- model questions, information requests, and disclosure templates for proposed data-center projects; guidance for evaluating anticipated electricity demand, water use, wastewater management, backup generation, air emissions, noise, traffic, public-service needs, and other material project impacts;

- model approaches for voluntary and enforceable community-benefit agreements; best practices for early, accessible, and good-faith community engagement; and

- recommendations for planning, design, landscaping, buffering, and mitigation practices that reduce adverse impacts on neighboring communities.

In establishing the Toolkit, the Office of the Chief Energy Officer shall consult with the Virginia Economic Development Partnership ("VEDP"), Virginia Energy, Virginia Department of Environmental Quality ("DEQ"), relevant stakeholders, and other relevant executive branch agencies. Furthermore, the Office of the Chief Energy Officer may establish partnerships; pursue grants, philanthropic support, and nonstate resources; and engage nonprofit organizations, academic institutions, and independent experts to strengthen local and community capacity, consistent with applicable law.

2. State Agency Transparency and Banning Nondisclosure Agreements

No executive branch agencies, departments, boards, commissions, authorities, and any other employees under the Governor's supervision shall enter into, and are otherwise prohibited from enforcing or requiring, a nondisclosure agreement that prevents public disclosure of material information concerning a proposed commercial data center development, its public incentives, anticipated resource demands, or its potential community impacts as of the Effective Date of this Executive Order. Executive branch agencies are expected to honor existing contractual commitments and nondisclosure agreements, but absent extraordinary circumstances including matters related to national security, any future nondisclosure agreement involving a proposed data center development would violate this Executive Order.

3. Responsible Development Designation Criteria

The Office of the Chief Energy Officer shall develop a Virginia Local Energy and Accountable Data Centers ("VA-LEAD") designation criteria and implementation plan to distinguish responsible data center developments in the Commonwealth, including recommendations for a long-term strategy to support this effort over time. The purpose of the VA-LEAD program is to improve transparency and understanding of the impacts of different data center developments on Virginia's economy and communities, positioning Virginia to continue being the nation's leader in raising the bar for responsible data center development. Once established, the VA-LEAD program shall serve as the baseline for how executive branch agencies align incentives and administrative services to prioritize developers that achieve the highest tier of responsible development.

In collaboration with all relevant Secretaries, VEDP, Virginia Energy, DEQ, and other relevant executive branch agencies, the Office of the Chief Energy Officer shall develop the criteria for the VA-LEAD program. Modeled after successful resource-efficiency frameworks like LEED and EnergyStar, the VA-LEAD criteria shall use a standardized, tiered scoring system to evaluate data center facilities based on factors such as, but not limited to:

- energy and infrastructure impacts;
- water and land use;
- noise pollution;
- workforce development;
- clean-energy and resilience investments;
- sourcing of local sustainable construction materials; and
- local community benefits.

Additionally, the criteria should integrate recommendations from the Joint Subcommittee on Tax Policy, relevant legislation and regulatory requirements, and input from national experts, community organizations, utilities, and data center developers.

By the end of calendar year 2027, Office of the Chief Energy Officer shall submit the proposed criteria and recommended implementation plan to the Office of the Governor. The Office of the Chief Energy Officer shall solicit input from local governments, communities, utilities, consumer advocates, environmental organizations, labor and workforce organizations, data center developers, and technical experts during the development of the proposed criteria and recommended implementation plan.

4. Exclusion From State Site-Readiness and Expedited-Review Programs

Effective upon issuance of this Executive Order, VEDP shall not provide assistance through the Virginia Business Ready Sites Program, any expedited permitting program, or any similar discretionary state economic development, site-readiness, or expedited review program for a new data center project with an anticipated peak electrical demand of 25 MW or greater.

C. Protecting Our Environment

1. Data-Center Noise Protections

DEQ shall prioritize and expedite the development of data center noise regulations consistent with DEQ's existing statutory authority and applicable legislative direction. DEQ shall establish a public process that meaningfully engages affected communities, local governments, data-center operators, public-health experts, and other stakeholders.

Within 180 days of the date of this Executive Order, DEQ shall provide the Office of the Governor with a proposed accelerated timeline, workplan, and stakeholder-engagement plan for the noise-rulemaking process.

2. Backup-Generation Cumulative Impact Analysis and Emissions Reductions

DEQ, in consultation with the Virginia Department of Health and Virginia Energy, shall conduct or oversee a cumulative-impact review of diesel and other backup-generation operations associated with data centers. The review shall consider:

- the number, capacity, fuel type, expected operating hours, and geographic concentration of backup generators;
- cumulative emissions and localized air-quality impacts, particularly in communities hosting multiple data-center facilities;
- available measures to reduce emissions, protect public health, and improve transparency; and
- measures to promote retrofit of Tier II gen-sets to Tier IV or equivalent emissions controls, battery storage, fuel cells, clean firm generation, non-diesel alternatives, and other feasible technologies that can meet reliability needs while reducing public-health and environmental impacts from backup generation.

Within 180 days of the date of this Executive Order, DEQ shall submit findings and recommendations to the Office of the Governor on potential improvements to data center permitting, monitoring, reporting, enforcement, emissions controls, and public disclosure.

3. Cooling Water Scarcity Areas

DEQ shall prioritize and expedite the development of regulations to establish criteria for the designation of cooling water scarcity areas where the evaporation of water for cooling purposes could have detrimental reductions in the quality or quantity of water available for other beneficial uses consistent with DEQ's existing statutory authority and applicable legislative direction. The Eastern Virginia Groundwater Management Area shall be designated as a cooling water scarcity area.

Within 180 days of this Executive Order, DEQ shall provide the Office of the Governor with a proposed accelerated timeline, workplan, and stakeholder-engagement plan for the cooling water scarcity area rule.

4. Responsible Siting and Regional Opportunity

Virginia Energy—in consultation with the Secretary of Commerce and Trade, the Office of the Chief Energy Officer, Virginia Economic Development Partnership, Department of Environmental Quality, Department of Housing and Community Development, the Department of Transportation, the Department of Health, the Department of Forestry, affected localities, and other appropriate agencies—shall identify and publish opportunities for data center development that diversify economic benefits across the Commonwealth and minimize energy, water, land-use, infrastructure, and community impacts.

Within 180 days of the date of this Executive Order, Virginia Energy shall evaluate and solicit input from local governments, communities, tribes, utilities, consumer advocates, environmental organizations, workforce representatives, land-use and grid experts, developers, and other interested stakeholders. The process shall examine opportunities for:

- brownfield redevelopment, adaptive reuse, and previously developed sites;
- edge data centers and other smaller or distributed development models;
- regional diversification and development in areas with appropriate infrastructure capacity;
- co-location of developments that utilize data center waste heat or reclaimed water; and
- reducing the impacts of data centers, including associated transmission lines, on Virginia's scenic and historic landscapes and for mitigating impacts when they are unavoidable.

Within 240 days of the date of this Executive Order, Virginia Energy shall submit recommendations to the Office of the Governor with findings, recommended best practices, and actions the Commonwealth can take to support lower-impact, community-aligned development.

D. Improving Affordability for Virginians

1. Cost Allocation for Energy Infrastructure

The Office of the Chief Energy Officer shall engage with utilities, the State Corporation Commission ("SCC"), PJM, and other related stakeholders to advocate for solutions that shield Virginia households from energy infrastructure costs driven by data center large loads and ensure equitable benefit sharing, including assigning costs associated with PJM's Reliability Backstop Procurement to data center large loads causing those costs for electric utilities and cooperatives and promoting equitable cost allocation associated with PJM's Interim Resource Adequacy Service ("IRAS") program, as applicable.

2. Affordable Community Energy Programs

The Office of the Chief Energy Officer shall identify and pursue strategies that direct data center investments into local energy projects that improve the affordability of energy for Virginia communities and strengthen Virginia's grid. In executing this directive, the Office of the Chief Energy Officer shall focus on promoting efforts that deliver meaningful household energy affordability benefits, expand equitable access for low- and moderate-income families and historically disadvantaged communities, strengthen local grid reliability in constrained areas, and enforce rigorous consumer protections.

E. Advancing Clean Energy and Grid Reliability

1. Interim Resource Adequacy Service

The Office of the Chief Energy Officer shall engage with the SCC and electric utilities to establish appropriate emergency procedures for the curtailment of data centers who have not brought their own new capacity under PJM's IRAS program, when such proposal is approved by the Federal Energy Regulatory Commission. Curtailment practices should prioritize reduced impact for data centers that bring their own clean energy, peak shaving adjustments, or other beneficial energy investments.

2. Grid Reliability

Virginia Energy shall evaluate the need for establishing data center operational state best practices to improve grid reliability, including ride-through and voltage protections. Virginia Energy shall engage with PJM, NERC, Virginia utilities, and other stakeholders as necessary to ensure state practices align with national practices. Virginia Energy shall provide recommendations to the Office of the Governor if any new practices are identified as necessary through the evaluation process.

3. Methane Emissions

The Chief Energy Officer, in consultation with DEQ and Virginia Energy, shall develop recommendations to support data center investment in methane emissions reductions associated with natural gas infrastructure.

Within 180 days of this Executive Order, the Chief Energy Officer shall provide the Office of the Governor with an update on key findings and recommendations.

F. Delivering a Better Deal for Our Workforce

1. Workforce and Economic Value

The Secretary of Labor—in consultation with the Secretary of Commerce and Trade, VEDP, the Virginia Department of Education, the Virginia Community College System, workforce-development partners, labor organizations, contractors, and local governments—shall develop best practices for prioritizing the creation of quality jobs including advancing local workforce opportunities. Best practices shall be incorporated into the Data Center Planning and Community Engagement Toolkit and VA LEAD program, as applicable. The Secretary of Labor shall provide any additional strategic recommendations to the Office of the Chief Energy Officer.

2. Workforce Reporting

Within 180 days of the date of this Executive Order, Virginia Works, in consultation with the Secretary of Labor, will develop criteria for data center project-level workforce data collection, including reporting requirements related to quality jobs, workforce needs, training programs, and workforce outcomes. Data collection and reporting requirements developed by Virginia Works shall be incorporated

into VA-LEAD program, as applicable. Virginia Works shall provide any additional strategic recommendations to the Office of the Governor.

3. Local and Sustainable Procurement

The Department of Forestry—in consultation with the Secretary of Commerce and Trade, the Secretary of Agriculture and Forestry, VEDP, Virginia Energy, DEQ, Department of Small Business and Supplier Diversity, the Department of Labor and Industry, and other appropriate agencies—shall develop local, sustainable, and responsible procurement best practices for data center development and operations and incorporate them into the Data Center Planning and Community Engagement Toolkit and VA LEAD program, as applicable. Best practices shall include ways to encourage sustainable products (e.g., mass timber, other local wood products), locally sourced materials, and other sustainable development practices.

II. Responding to the Unprecedented Risks Posed by AI

To address the unparalleled risks posed by unregulated AI development while steering AI development in directions that maximize its promise to work in service of Virginians, I hereby direct the formation of a rapid-response AI Task Force.

The Task Force shall be co-led by the Chief Transformation Officer, Counsel to the Governor, and Secretary of Administration. The Chief Transformation Officer shall be responsible for coordinating the actions required by this Executive Order with support from an AI Policy Planning Unit, which is hereby established as part of the Office of the Chief Transformation Officer.

The Task Force shall take the following immediate actions:

- address the risks posed by AI through executive and legislative action—including risk of workforce displacement and data privacy related to Virginians' personal information—and develop the expertise, staffing structure, and government systems to most effectively meet the AI moment.
- evaluate Virginia law and precedent to identify existing enforcement and regulatory options to address the risks posed by AI growth and the harms being inflicted on all Virginians as a result;
- identify and assess the cybersecurity risks posed to Virginia, its state systems, and its critical infrastructure from AI agents, bots, and other developments, including coordination with partners developing tools to proactively review and harden systems against AI-based attacks;
- partner with Governors around the United States, as well as federal and international leaders, and philanthropy to address AI risks and mitigations achievable at scale;
- support Commonwealth-wide efforts to become a leader in secure and responsible use of AI, leveraging recognized best practices and technical experience in governance, privacy, and data security;
- coordinate with all relevant artificial intelligence frontier developers, including Anthropic, OpenAI, xAI, Meta, Amazon, and Microsoft, to address the risks, mitigations, and people-first design requirements; and
- engage with experts around the world to identify proactive steps Virginia can take to protect the Commonwealth against future AI development risks.

As part of its work, the Task Force shall coordinate with:

- the Secretary of Education, the Secretary of Labor, the Secretary of Commerce & Trade, the Secretary of Public Safety and Homeland Security, and the Secretary of Health & Human Resources;

- the Joint Commission on Technology & Science and the Joint Legislative Audit and Review Commission; and

- Virginia's federal congressional delegation, with the support of the Director of Federal Affairs.

Upon request, all Secretariats and executive branch agencies shall support the Task Force, and Task Force requests shall be treated as urgent under the circumstances and given priority.

The Task Force shall report to the Governor on a continuous and ongoing basis until terminated at my direction.

Effective Date of the Executive Order

This Executive Order rescinds Executive Order No. 30 (Jan. 18, 2024) and Executive Directive No. 5 (Sept. 20, 2023) issued by Governor Glenn Youngkin. The policies, standards, and guidelines published pursuant to Executive Order No. 30 shall remain in effect unless or until replaced through a future executive or agency action.

This Executive Order shall become effective upon its signing and shall remain in full force and effect unless amended or rescinded by further executive order.

Given under my hand and under the Seal of the Commonwealth of Virginia this 18th day of September 2026.

Abigail D. Spanberger, Governor

Candi Mundon King, Secretary of the Commonwealth